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REAL ESTATE

After the Fires, Bidding Wars and Cutthroat Demand Take Over L.A.'s Rental Market

Thousands of displaced people need somewhere to live; 'Trying to find a house right now is a full-time job'

By [Nicole Friedman](#) [Follow](#) | Photographs by Jenna Schoenefeld for WSJ

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Kelsey and Scott Unger are staying in a short-term rental after losing their Altadena, Calif., home in the Eaton fire.

The [Los Angeles wildfires](#) are pitting neighbors against each other in a cutthroat search for rental housing.

The fires have killed at least 25 people and flattened or damaged [thousands of homes](#). Tens of thousands of [displaced people](#) are staying with relatives or sleeping in hotels and emergency shelters. Employers are providing housing for some workers. These accommodations are mostly temporary.

Now, fire refugees are entering the contest to find housing for the months—or even years—it will take for their homes and neighborhoods to be rebuilt.

The luckiest are tapping into family and friend networks to find places to stay that aren't publicly listed. The rest are scouring listing sites, rushing to open houses and trying to submit applications ahead of thousands of others in the same situation.

"When you walk up to these houses, you're passing people who are walking in with you or are walking out, and everybody just looks shellshocked, defeated, sad," said Kelsey Unger, whose Altadena home was destroyed in the Eaton fire last week.

She and her husband, Scott Unger, have toured about 10 homes already. They are staying with their toddler in a short-term rental arranged by a family friend, but they are looking for a longer-term option in the San Gabriel Valley. They hope to find a three-bedroom house for around \$4,000 a month but might be forced to settle for a smaller apartment at a higher cost, she said.

"The few times that I found things that I wanted to apply for, by the time I went to apply, they were like, 'They're gone,'" she said. "Trying to find a house right now is a full-time job."



Firefighters worked over the weekend to put out hot spots in Altadena. PHOTO: ALISHA JUCEVIC FOR WSJ

A community of 12 newly built homes in the Highland Park neighborhood had nine available units before the wildfires. By Monday, it was fully leased at rents ranging from \$5,900 to \$7,500, said Tracy Do, a real-estate agent in Pasadena.

"The increase in demand is astronomical," she said.

That sudden surge has raised concerns about rent gouging. California law bans price increases on rent and other essential goods and services of more than 10% during a state of emergency. Gov. Gavin Newsom on Thursday extended the price-gouging ban

on rental housing in Los Angeles County until early March, and local and state officials have asked the public to report price gougers.

Tenant advocates are crowdsourcing examples of listings in which rents jumped dramatically following the wildfires, and some landlords have since backed off those increases.

[Zillow](#) said it uses an internal system to flag potential violations of the law and that it has taken down hundreds of listings in the Los Angeles area. [Airbnb](#) said Wednesday that hosts in Los Angeles and Ventura counties who try to raise prices by more than 10% from levels before the wildfires will receive an error message.

But price-gouging laws can't prevent bidding wars. Many prospective tenants are offering to pay above the listed rent or pay multiple months of rent upfront, said Patrick Michael, founder of LA Estate Rentals, which manages high-end furnished rentals. There are limits to what owners can accept, he said.

"The problem is a lot of owners are looking for people who offer the most money, and it's becoming a bidding situation," he said. "It puts us in a difficult position."



The Ungers are looking for longer-term housing options in the San Gabriel Valley.

Some people's home insurers are covering their rental costs, increasing the amount they are willing to pay.

Ashleigh Rader, a real-estate agent in Pasadena who is helping families find rentals, is encouraging people to consider moving to neighboring counties if they can. But many want to stay near their workplaces, doctors, daycares or schools.

“We for sure are going to see people who have to move farther away,” she said.

The Los Angeles housing market is already among the least affordable in the U.S., because strict building regulations have long limited new construction.

The perimeters of the Palisades and Eaton fires encompass about 15,000 single-family homes and an additional 3,600 multifamily units, said Marco Giacoletti, assistant professor at the University of Southern California Marshall School of Business.

By comparison, Los Angeles County issued permits to construct about 6,000 single-family homes and 15,000 multifamily units each year between 2013 and 2023, he said.

“Competition, especially for renters at the more affordable end of the market, was already really tight,” said Natalie Knott, supervising attorney at Legal Aid Foundation of Los Angeles. “With a whole bunch of former homeowners now entering that market, it’s going to be even worse.”

LAFLA has heard reports of displaced people sleeping in their cars, she said.

Hotels and landlords that [use software to set prices](#) are still responsible for limiting price increases to 10% or less, California Attorney General Rob Bonta said at a Saturday press conference.



A swath of the Pacific Palisades has been destroyed, displacing thousands of residents. PHOTO: DANIEL COLE/REUTERS

“If that means departing from your algorithm, depart from your algorithm,” he said. “Ignorance is not an excuse.”

Advocates are also concerned that renters could be pushed out of units by landlords hoping to rent at higher prices to people displaced by the fires. Two Los Angeles City Council members introduced a motion Tuesday calling for an eviction moratorium for tenants affected by the fires and a one-year ban on all rent increases.

The demand for rentals could keep growing, as some displaced people are still focused on their immediate needs and haven’t started house hunting.

Many of the displaced people are homeowners who are used to having outdoor space and don’t want to return to apartment living, real-estate agents say.

In the past three months, the typical household [affected by the 2023 wildfires in Maui](#) was paying over 50% more in rent for homes with the same number or fewer bedrooms than they had before, said Daniela Bond-Smith, a research economist for the University of Hawaii Economic Research Organization.

The massive need for rentals is being partially offset by homeowners who are offering up backyard units or areas in their homes to displaced families, said Rader, the agent in Pasadena.

“People who never considered renting something out are now digging deep and saying, ‘Could I make this work?’” she said. “Things are just getting snapped up.”



Though they hope to find a three-bedroom house for around \$4,000 a month, the Ungers acknowledge they might have to settle for a smaller apartment at a higher cost.

Write to Nicole Friedman at nicole.friedman@wsj.com